

# QUALIFIED AUTOMATIC CONTRIBUTION ARRANGEMENT NOTICE

## Special Information for Rehired Employees or Employees moving from an Excluded to an Eligible Class, who are immediately eligible to enter the Plan

**Plan Administrator:** This Notice should be distributed with the Qualified Automatic Contribution Arrangement Notice, Enrollment Guide, and Summary Plan Description to:

- ⇒ Rehired employees who previously satisfied the Plan's eligibility requirements and who immediately reenter the Plan on their reemployment commencement date
- ⇒ Employees moving from an excluded to eligible class of employees who have satisfied the Plan's eligibility requirements and who immediately enter the Plan on the date they move to an eligible class.

If this notice has been delivered electronically, you may request a written paper notice that must be provided at no charge.

Certain aspects of the Plan's Qualified Automatic Contribution Arrangement ("QACA") operate slightly differently for employees in the groups described above. These differences are described below. The headings generally correspond to the headings in the attached QACA Notice. Except as specifically modified, the attached QACA Notice applies.

### Salary Deferral Contribution Elections and Automatic Enrollment Provisions

**Rehired Employees:** Because you satisfied the Plan's age and service requirements during your prior employment with the Employer and your original Plan entry date has passed, you will be eligible to enter the Plan on the day your reemployment commences. If you were previously sent a "welcome letter" containing your personal identification number ("PIN") and explaining how to access the Plan's participant Website and Voice Response System ("VRS"), your PIN remains valid and you will not receive another welcome letter. If you did not previously receive a welcome letter and PIN, a welcome letter will be sent to you at a later date.

**Employees Moving from an Excluded to Eligible Class:** Because you already have satisfied the Plan's age and service requirements, you will be eligible to enter the Plan on the day you move from an excluded class to a class of employees eligible to participate in the Plan. If you previously participated in the Plan at any prior time and already have a PIN, your PIN remains valid and you will not receive another welcome letter. If you have never previously participated in the Plan, a welcome letter will be sent to you at a later date.

You may make an election to contribute (or not to contribute) to the Plan at any time after you receive this Notice. If you do not make an election to contribute (or to not contribute) to the Plan by the date your reemployment commences or the date you move from an excluded to an eligible class (as applicable), you will automatically be enrolled in the Plan as of that date, as explained in the attached QACA Notice, as modified below.

#### How You Can Make or Change Your Elections:

As a rehired employee or employee who has moved from an excluded to an eligible class (as applicable), you should use the paper Enrollment Form contained in your Enrollment Guide to make your salary deferral election and investment allocations for future contributions, or to affirmatively opt out of making elective deferrals. If you already have a PIN, you may continue to use the participant Website and VRS to change elections regarding your existing account balances, but you may not use the Website or VRS to make or change your elections regarding future elective deferrals until the Plan Administrator (re)establishes you as an active, eligible employee on the recordkeeping system.

#### Limited Withdrawal Right:

If the Plan allows for a limited withdrawal right and if you participated in the Plan at a prior time, and were automatically enrolled under the Plan's QACA during that time, you will not be eligible for the limited withdrawal right if you are automatically enrolled again.

#### Automatic Enrollment Deferral Increase Provisions:

If the Plan provides for automatic enrollment deferral increases as explained in the attached QACA Notice, you previously were automatically enrolled under the Plan's QACA, and you do not otherwise affirmatively elect to contribute (or to not contribute) elective deferrals to the Plan as described above, the amount of your elective deferral contributions automatically deferred from your pay on a pre-tax basis will be determined in accordance with the Plan's automatic enrollment deferral increase provision, based on the date of your *initial* automatic elective deferral

contributions under the QACA.

**Investment Allocation Provisions:**

The Plan provides for participant direction of investments in their individual accounts. If you are automatically enrolled into the Plan and do not make an affirmative investment election, any contributions that are made to the Plan on your behalf as a result of your automatic enrollment will be invested as described in the attached QACA Notice. The investment objective for this default investment option is set forth in the performance summary section of the Enrollment Guide that accompanies this Notice.

Different investments—stocks, bonds and money market/stable value funds react differently to the same market conditions. For instance, when one is at a high, another is at a low, and the third may be somewhere in between the two. ADP Retirement Services (the Plan's recordkeeper) classifies investment options into four general categories, each of which has a different amount of investment risk attached to it. The greater the risk, the greater the possible return. The four categories, ranked according to risk, from most conservative to most aggressive, are: **Income**, which is generally comprised of fixed and bond investments, **Growth and Income**, which is generally comprised of a combination of stock, fixed and bond investments, **Growth**, which is generally comprised of stock investments which seek capital appreciation over time and **Aggressive Growth**, which is generally comprised of stock investments which seek high capital appreciation. The category into which the Plan's default investment option falls is set forth in the Performance Summary section of the accompanying Enrollment Guide.

There are various fees and expenses charged against the assets of the default investment option by the investment funds. The total amount of these fees and expenses is listed in the expense ratio column of the performance summary page in the accompanying Enrollment Guide. Please refer to the default investment option's prospectus for detailed information on fund expenses, including possible redemption fees.

Once you have access to the participant Website and VRS regarding your elective deferral elections, you will have the ability to direct the investment of your contributions out of the default investment option to any other investment fund under the Plan, generally without financial penalty, on a daily basis. (However, please note that each investment fund may provide for the imposition of redemption fees on purchases and sales made within time periods set forth in fund prospectuses.)

To learn more information regarding the investment funds under the Plan, please review the funds' prospectuses. You may also obtain information online by logging onto the participant Website or calling the VRS once it is available to you, or by contacting your Plan Administrator using the contact information in the attached QACA Notice if the Website and VRS are not yet available to you.

## QUALIFIED AUTOMATIC CONTRIBUTION ARRANGEMENT NOTICE

If notice has been delivered electronically, the employee may request a written paper notice that must be provided at no charge.

**To:** All employees of The KL Group Inc. DBA Johnstone Supply of Central NY (the “Company”) and participating affiliates, if any eligible for the The KL Group, Inc. DBA Johnstone Supply Of Central NY 401(k) Profit Sharing Plan (the “Plan”)

**From:** The KL Group Inc. DBA Johnstone Supply of Central NY

**Subject:** Qualified Automatic Contribution Arrangement (with Matching Contributions)

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During the Plan Year that begins 1/1/2020, the Plan will include an automatic enrollment feature known as a Qualified Automatic Contribution Arrangement, and will meet the requirements of the Internal Revenue Code that apply to Qualified Automatic Contribution Arrangements. Under this automatic enrollment feature, your employer will automatically deduct a certain percentage of your compensation on a pre-tax basis and contribute it to the Plan as an elective deferral contribution, unless you have made a salary deferral election and elected a different percentage of compensation, including zero percent. Your employer will make matching contributions known as Qualified Automatic Contribution Arrangement Matching Contributions (“QACA Matching Contributions”), based on your Elective Deferral contributions. This Qualified Automatic Contribution Arrangement is described in more detail below.

### Salary Deferral Elections and Automatic Enrollment Provisions

If you first become eligible to enter the Plan on or after the first day of the Plan Year noted above, a “welcome letter” explaining how to enroll and make elections under the Plan will be sent or have been sent to you approximately 35 days before the date you are eligible to enter the Plan and begin making elective deferral contributions (your “Plan entry date”). You may make an election to contribute (or not to contribute) to the Plan at any time after you receive the welcome letter. If you do not make a salary deferral election to contribute (or to not contribute) to the Plan by your Plan entry date, you will automatically be enrolled in the Plan as of that date, and we will automatically withhold 3 % of your compensation from your paycheck each payroll period and contribute that amount to the Plan as a pre-tax elective deferral contribution. However, you may make a salary deferral election at any time to select an alternative deferral amount or to elect not to contribute any compensation to the Plan. For information regarding the amount and type of compensation from which elective deferral contributions will be deducted, please refer to the definition of compensation in the Plan’s Summary Plan Description. If you have any questions concerning the application of this automatic elective deferral contribution provision, please contact the Administrator.

#### How You Can Make or Change Your Elections:

You can make or change your salary deferral election and investment allocations, or opt out of making elective deferrals at any time by completing and filing an election form provided by your Employer, calling the Voice Response System [800-695-7526] or accessing the Plan’s participant Website [WWW.MYKPLAN.COM](http://WWW.MYKPLAN.COM).

#### Accessing the Voice Response System:

ADP Retirement Services will mail you a Personal Identification Number (PIN). This new PIN will permit you to access your account when you call the Voice Response System.

#### Accessing the Participant Website:

In order to access the ADP Retirement Services website, if you already have a user ID and password for another ADP product or service, please use that user ID and password. If you do not already have a user ID and password on file for another ADP product or service, the first time you access your account on the ADP Retirement Service website, you will select the **Register Now** button. This will allow you to set up your personal User ID and Password. This information will be explained in detail in the welcome letter described above.

You will be able to make a salary deferral election and select your investment allocations. Your salary deferral election will become effective as soon as administratively practicable after you make your election.

#### Limited Day 90 Withdrawal Right:

If you are automatically enrolled in the Plan, you will have a limited period during which you may elect to withdraw the automatic

elective deferral contributions, despite the general limits on Plan withdrawals. If you wish to withdraw your automatic elective deferral contributions, you must make an election to do so no later than 90 days after automatic elective deferral contributions are first taken from your pay, by turning in a withdrawal request to the Plan Administrator on the form prescribed by the Plan Administrator. The distribution amount will be the amount of the default elective contributions made under the eligible automatic contribution arrangement through the effective date of the election, adjusted for allocable gains and losses up to the date of distribution. If you take out your automatic elective deferral contributions, you lose (that is, forfeit) any Matching Contributions (adjusted for gains and losses) made to your account. Also, your withdrawal will be subject to federal income tax (but not the extra 10% tax that normally applies to early distributions). If you elect to withdraw automatic elective deferral contributions, you will also make a concurrent election to stop your elective deferral contributions. However, you can always choose to make an affirmative election to restart your contributions at any time. After the initial 90 day period, your elective deferral contributions are subject to the withdrawal provisions of the Plan described below.

#### **Automatic Enrollment Deferral Increase Provisions:**

If you do not otherwise affirmatively elect to contribute (or to not contribute) elective deferrals to the Plan as described above, the amount of your elective deferral contributions automatically deferred from your pay on a pre-tax basis will increase by 1 percentage point(s) on the first day of the next Plan Year beginning after your initial automatic elective deferral contributions under the Qualified Automatic Contribution Arrangement and the first day of each Plan Year thereafter up to a maximum of 6% of your eligible compensation. If you make an affirmative election to contribute a different amount of elective deferral contributions (or to make no elective deferral contributions), these automatic enrollment deferral increase provisions will not apply to you. You can make such an election at any time.

#### **Investment Allocation Provisions**

If you are automatically enrolled into the Plan, and do not make an affirmative investment allocation, any contributions that are made to the Plan on your behalf will be invested in a default investment fund for contributions based upon your birth date according to the chart below.

| <b>If your birth date is between:</b> | <b>You will be invested in:</b> |
|---------------------------------------|---------------------------------|
| Before 12/31/1952                     | VAN Target Retire 2015 - Inv    |
| Between 01/01/1953 and 12/31/1957     | VAN Target Retire 2020 - Inv    |
| Between 01/01/1958 and 12/31/1962     | VAN Target Retire 2025 - Inv    |
| Between 01/01/1963 and 12/31/1967     | VAN Target Retire 2030 - Inv    |
| Between 01/01/1968 and 12/31/1972     | VAN Target Retire 2035 - Inv    |
| Between 01/01/1973 and 12/31/1977     | VAN Target Retire 2040 - Inv    |
| Between 01/01/1978 and 12/31/1982     | VAN Target Retire 2045 - Inv    |
| Between 01/01/1983 and 12/31/1987     | VAN Target Retire 2050 - Inv    |
| After 01/01/1988                      | VAN Target Retire 2055          |

You may at anytime while you are a Participant in the Plan access your account via the Voice Response System or participant Web site and make an affirmative investment allocation for future contributions among any of the investment alternatives available under the Plan. You may also make transfers of your account balance to and from any of the investment alternatives offered in the Plan.\*

\* Certain funds may be subject to redemption fees if money is traded to and from a fund within a certain period of time. Any restrictions can be found in the respective fund prospectuses. You should read the prospectuses before investing in any of the funds offered in the Plan. If you have been automatically enrolled in the Plan, no redemption fee will be charged upon any initial transfer of your account balance(s) out of the Default Fund.

#### **Qualified Automatic Contribution Arrangement Matching Contributions**

We will make a QACA Matching Contribution to this Plan equal to 100% of the elective deferral contributions that you make up to the first 3% of your compensation that you defer plus 50% of the elective deferral contributions that you make between 3% and 5% of your compensation that you defer regardless of whether your elective deferral contributions are the result of an affirmative election or automatic enrollment. You are not required to be employed on the last day of the Plan Year or to complete a Year of Service to receive the QACA Matching Contribution. QACA Matching Contributions will be contributed to the Plan on a payroll-by-payroll basis.

#### **Vesting and Withdrawal Provisions**

You are always 100% vested in your elective deferral contributions account. Your QACA Matching Contribution account under the Plan is subject to the following vesting schedule:

| Years (or Periods) of Service | Vested Percentage |
|-------------------------------|-------------------|
| Less than 1                   | 100%              |

Other types of employer matching contributions, if any, under your Plan may vest according to a different schedule as described below.

You may obtain an in-service withdrawal from your QACA Matching Contribution account once you reach age 59-1/2. QACA Matching Contributions are not available for withdrawal in the event of a hardship.

A description of the Plan's additional vesting and withdrawal provisions follows:

## SAFE HARBOR EMPLOYEE NOTICE

### VESTING AND WITHDRAWAL PROVISIONS

#### WHAT DOES VESTING MEAN?

Vesting is your right to the contributions in your total Account Balance. In other words, to be vested refers to that portion of your Account Balance that is yours and which cannot be forfeited. Upon termination of Employment you are entitled to the entire vested portion.

You are always 100% fully vested in your total Account Balance in the Plan.

Because your total Account Balance is always 100% vested, you can never have any contributions forfeited. Upon termination of Employment you are entitled to your entire Account Balance.

#### WHAT HAPPENS IF I BECOME PERMANENTLY DISABLED?

If you become Disabled under the Plan while you were employed by the Employer, you become 100% vested in all your total Account Balance. Please see the Plan SPD section entitled "What Happens If I Become Permanently Disabled?" to learn how the Plan defines Disabled for this purpose.

#### WHEN CAN I RECEIVE PLAN BENEFITS?

Benefits are payable to you after you leave the Company for any reason (retirement, termination, Disability or death). There is generally an extra 10% tax on distributions before age 59-1/2, with certain exceptions. You can learn more about the extra 10% tax in IRS Publication 575, Pension and Annuity Income.

If you are performing service in the uniformed services while on active duty for a period of more than 30 days, you may be eligible to obtain a distribution from your Elective Deferral account(s). If you elect to receive such a distribution, you will be suspended from making Elective Deferrals for 6 months beginning on the date of the distribution. If you are eligible for both this distribution and a qualified reservist distribution (see below), your distribution will be processed as a qualified reservist distribution. Please consult your Plan's administrator if you have any questions regarding this provision.

#### MAY I WITHDRAW FUNDS WHILE STILL EMPLOYED?

You may withdraw all or part of your vested Account Balance once you reach age 59½. You may also withdraw any or part of your Rollover Contribution Account in the Plan as well as any After-Tax Contributions that may be held in your account in the Plan at any time and at any age. If you were a participant in the Plan prior to the date the Plan was converted to the ADP recordkeeping system, or in a plan that was merged into the Plan, please contact your Plan administrator or refer to the SPD that was in effect prior to the date the Plan was converted to the ADP recordkeeping system for information on any additional in-service distribution rights that may be available to you.

In the event of a financial hardship you may withdraw your own Elective Deferrals (excluding earnings on your Elective Deferrals) as well as any vested or Nonelective Contributions. QACA Contributions are not permitted to be withdrawn in the event of a financial hardship.

To make a hardship withdrawal under current Internal Revenue Service rules, you must be able to show that you are suffering an immediate and heavy financial hardship and that the money cannot be obtained from any other source. You must take any non-hardship in-service withdrawals that may be available to you under the Plan before you may obtain a hardship withdrawal. You also must first obtain the maximum available loan under the Plan. You will not be required to take the maximum available loan before receiving a

hardship withdrawal to the extent that repaying the loan would increase the amount of your hardship. Please see the Section of the Plan's SPD entitled "May I Withdraw Funds While Still Employed?" for more information about hardship withdrawals.

Circumstances that qualify as an immediate and heavy financial hardship are (1) expenses for medical care (described in Section 213(d) of the Internal Revenue Code) previously incurred by you, your spouse, your dependent or your primary beneficiary under the Plan or necessary for you, your spouse, your dependent, or your primary beneficiary under the Plan to obtain medical care; (2) costs directly related to the purchase of your principal residence (excluding mortgage payments); (3) tuition, related educational fees, and room and board expenses for the next twelve (12) months of post secondary education for yourself, your spouse or dependent or your primary beneficiary under the Plan; (4) amounts necessary to prevent your eviction from your principal residence or foreclosure on the mortgage of your principal residence; (5) payments for burial or funeral expenses for your deceased parent, spouse, children or other dependents or your primary beneficiary under the Plan; or (6) expenses for the repair of damage to your principal residence that would qualify for the casualty deduction under the Internal Revenue Code. For this purpose, a "primary beneficiary under the Plan" is an individual who is named as your beneficiary under the Plan and has an unconditional right to all or a portion of your account balance if you die.

In addition, the amount of your hardship withdrawal must be no more than the amount necessary to satisfy your immediate and heavy financial need, plus any income taxes or penalties which are expected to result from the distribution. The minimum permitted hardship withdrawal is \$500. The hardship withdrawal may be subject to a 10% excise tax imposed by the IRS. You will be suspended from making elective contributions for 6 months after you receive a hardship withdrawal that includes Elective Deferrals.

If you are a qualified member of the reserves, you also may be eligible to request a *qualified reservist distribution*. A *qualified reservist distribution* is an exception to Plan restrictions on withdrawal of elective deferrals. Further, the extra 10% tax on a payout before age 59½ doesn't apply to a qualified reservist distribution. For more information, see the Section in the Plan's SPD entitled "My I Withdraw Funds While Still Employed?". A qualified reservist distribution may be taken from your Elective Deferral accounts.

## HOW DO LOANS WORK?

You may borrow certain amounts from the vested portion of your Account. You can learn more about the Plan's loan rules in SPD section entitled "How Do Loans Work?".

## ROTH ELECTIVE DEFERRALS

Under our Plan you are able to make two kinds of Elective Deferrals. You may make Pre-Tax Elective Deferrals, or you may make Roth Elective Deferrals. There are a number of ways to contribute Roth Elective Deferrals to the Plan. The first is by electing to contribute Roth Elective Deferrals directly to the Plan. (Roth Elective Deferrals contributed directly to the Plan will be recorded in a Roth Elective Deferral Account.) The second is by making a Roth Rollover Contribution to the Plan. Please see the sections of the Plan's SPD entitled "What Contributions Are Made to the Plan?" and "If I Received a Distribution From Another Eligible Retirement Plan, May I Contribute That Amount to the Plan?" for more information about Pre-Tax Elective Deferrals, Roth Elective Deferrals, and Roth Rollover Contributions.

Roth Elective Deferrals are generally treated in the same manner as Pre-Tax Elective Deferrals. This means that your Roth Elective Deferral sub-account is always fully vested and is subject to the distribution restrictions and provisions discussed elsewhere in this Safe Harbor Notice. Your Roth Rollover Contribution sub-account is also fully vested and subject to the distribution restrictions and provisions discussed elsewhere in this Safe Harbor Notice. Loans are available from your Roth Elective Deferral, and Roth Rollover Contribution sub-accounts. You are also permitted to:

- take a hardship distribution from your Roth Elective Deferral sub-account (excluding earnings);
- take an in-service distribution from your Roth Elective Deferral sub-account once you reach age 59-1/2; and
- take an in-service distribution from your Roth Rollover Contribution sub-accounts at any time.

Roth Elective Deferrals and Roth Rollover Contributions are taxed differently than Pre-Tax Elective Deferrals upon distribution. You can learn more about how distributions are taxed in the section of the Plan's SPD entitled "How Are My Distributions From The Plan Taxed?".

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Please refer to your Plan's Summary Plan Description for more information about the Plan, including information regarding any other contributions that may be made to the Plan and the conditions under which they may be made.

The Company reserves the right to suspend the Safe Harbor Contribution under our Plan during the Plan Year. You will receive a supplemental notice if this occurs. Any such change would not take effect until after the plan is amended to suspend the Safe Harbor Contribution, but no earlier than 30 days after the supplemental notice is provided to you.

For additional information (including requesting a copy of the Plan's Summary Plan Description) please contact:

Name of Company Contact: [Karen Craft](#)

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|---------------------------------|-----------------------------------------|
| Mailing Address:                | <u>95 Halstead</u>                      |
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